



Hydrocarbon Oil (Customs & Excise) Act 1971

1971 CHAPTER 12

An Act to consolidate the enactments relating to the duties of customs and excise on hydrocarbon oil, petrol substitutes and power methylated spirits.

[16th March 1971]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Classification of oils etc.

1.—(1) The following subsections shall have effect for the Hydrocarbon purposes of the customs and excise Acts, and for defining the oil.

various descriptions of oil referred to in this Act.

(2) "Hydrocarbon oil" means petroleum oil, coal tar, and oil produced from coal, shale, peat or any other bituminous substance, and all liquid hydrocarbons, but does not include such hydrocarbons or bituminous or asphaltic substances as are—

- (a) solid or semi-solid at a temperature of 60°F, or
- (b) gaseous at a temperature of 60°F and under a pressure of one atmosphere.

(3) "Light oil" means hydrocarbon oil—

- (a) of which not less than 90 per cent. by volume distils at a temperature not exceeding 210°C, or
- (b) which gives off an inflammable vapour at a temperature of less than 23°C when tested in the manner prescribed by the Acts relating to petroleum.

(4) "Heavy oil" means hydrocarbon oil other than light oil.

2.—(1) The method of testing oil for the purpose of ascer- Provisions
taining its classification in accordance with section 1 of this Act supplementing
shall, subject to paragraph (b) of the definition of "light oil" classification
in section 1(3), be such as the Commissioners may direct. in s. 1.

(2) The Treasury may from time to time direct that, for the purposes of any duty of customs or excise for the time being chargeable on hydrocarbon oil, any specified description of light oil shall be treated as being heavy oil:

Provided that the Treasury shall not give such a direction in relation to any description of oil unless they are satisfied that the description is one which should, according to its use, be classed with heavy oil.

(3) For the purposes of the customs and excise Acts, the production of hydrocarbon oil includes—

- (a) the obtaining of one description of hydrocarbon oil from another description thereof; and
- (b) the subjecting of hydrocarbon oil to any process of purification or blending,

as well as the obtaining of hydrocarbon oil from other substances or from any natural source.

(4) Where heavy oil having a temperature exceeding 60°F is measured for the purpose of ascertaining the amount of any duty of customs or excise chargeable, or of any rebate or drawback allowable, thereon and the Commissioners are satisfied that the oil is artificially heated, the duty shall be charged or the rebate or drawback shall be allowed on the number of gallons which, in the opinion of the Commissioners, the oil would have measured if the temperature thereof had been 60°F.

Petrol
substitutes and
power
methyated
spirits.

3.—(1) For the purposes of the excise Acts and this Act, “petrol substitute” means any liquid intended to take the place of petrol as fuel for internal combustion piston engines, being neither hydrocarbon oil nor power methyated spirits.

(2) In subsection (1) above, “liquid” does not include a substance which is gaseous at a temperature of 60°F and under a pressure of one atmosphere.

(3) In this Act—

- (a) “methyated spirits” means spirits mixed in the United Kingdom with some other substance in accordance with regulations made under section 118 of the Act of 1952; and
- (b) “power methyated spirits” means spirits methyated in such manner as may be prescribed by those regulations for methyated spirits of that class.

Customs and excise duties and their incidence

4.—(1) Subject to the provisions of this section, there shall be charged on hydrocarbon oil imported into the United Kingdom a duty of customs at the rate of 22½p a gallon. Customs duty on hydrocarbon oil.

(2) Where imported hydrocarbon oil is removed to a refinery, the customs duty shall, instead of being charged at the time of the importation of that oil, be charged on the delivery of any goods from the refinery for home use and shall be the same as that which would be payable on the importation of like goods.

5. Where imported goods contain hydrocarbon oil as a part or ingredient thereof, the oil shall be disregarded in the application to the goods of section 259 of the Act of 1952 (charge of duty on manufactured or composite articles) unless in the opinion of the Commissioners they should, according to their use, be classed with hydrocarbon oil. Hydrocarbon oil as ingredient of imported goods.

6. A duty of excise at the same rate as the duty of customs charged under section 4 above shall be charged— Excise duty.

- (a) on hydrocarbon oil produced in the United Kingdom which is delivered for home use from a refinery or from other premises used for the production of hydrocarbon oil or from any bonded storage for hydrocarbon oil, and which is not chargeable with the customs duty on hydrocarbon oil ;
- (b) on any petrol substitute which is sent out from the premises of a person producing or dealing in petrol substitutes and which was not acquired by him duty paid under this paragraph ; and
- (c) on spirits used for making power methylated spirits (payable by the methylator immediately after the spirits have been so used).

Delivery without payment of duty

7.—(1) The Commissioners may permit hydrocarbon oil to be delivered for home use to an approved person, without payment of customs or excise duty thereon, where the oil— Oil delivered for home use for certain industrial purposes.

- (a) is to be put by him to a use qualifying for relief under this section ; or
- (b) is to be supplied by him in the course of a trade of supplying oil for any such use.

(2) The uses of hydrocarbon oil qualifying for relief under this section are—

- (a) use in the manufacture or preparation of any article not being hydrocarbon oil or an article which in the

opinion of the Commissioners should, according to its use, be classed with hydrocarbon oil; and

- (b) use for cleaning plant, in connection with the use of the plant in the manufacture or preparation of such an article,

but do not include the use of oil as fuel or, except as provided by subsection (3) of this section, as a lubricant.

(3) Where, in the manufacture or preparation of an article described in subsection (2)(a) above, hydrocarbon oil is used for preventing or reducing friction, adhesion or contact—

- (a) between parts or components of the article; or
(b) between the article or a part or component thereof and any plant used in the manufacture or preparation, or any part or component of plant so used,

that use of the oil is to be included among the uses qualifying for relief under this section.

(4) In this section, “plant” means any machinery, apparatus, equipment or vessel.

(5) Where the Commissioners are authorised to give permission under subsection (1) of this section in the case of any oil, but the permission is for any reason not given, the Commissioners shall, if they are satisfied that the oil has been put by an approved person to a use qualifying for relief under this section, repay to him the amount of the customs or excise duty paid thereon, less any rebate allowed in respect of the duty.

Restrictions on
use of duty-
free oil.

8.—(1) Except with the consent of the Commissioners, no oil in the case of which delivery without payment of duty has been permitted under section 7 of this Act shall—

- (a) be put to a use not qualifying for relief under that section; or
(b) be acquired or taken into any vehicle, appliance or storage tank in order to be put to such a use.

(2) In giving their consent for the purposes of subsection (1) above, the Commissioners may impose such conditions as they think fit.

(3) A person who—

- (a) uses or acquires oil in contravention of subsection (1) above; or
(b) is liable for oil being taken into a vehicle, appliance or storage tank in contravention of that subsection,

shall be liable to a penalty of three times the value of the oil or £100, whichever is the greater; and the Commissioners may recover from him an amount equal to the customs duty on like oil at the rate in force at the time of the contravention.

(4) A person who supplies oil having reason to believe that it will be put to a use not qualifying for relief under section 7 of this Act shall, if that use without consent of the Commissioners would contravene subsection (1) above, be liable to the said penalty.

(5) Where the act in respect of which a person is liable to a penalty under subsection (3) or (4) above was done (whether by him or any other person) with the intent by him that the restrictions imposed by subsection (1) should be contravened, he shall be liable to the said penalty, or to imprisonment for not more than two years, or to both.

(6) A person is liable for oil being taken into a vehicle, appliance or storage tank in contravention of subsection (1) above if he is at the time the person having the charge of the vehicle, appliance or tank, or is the owner thereof, except that if a person other than the owner is, or is for the time being, entitled to possession of it, that person and not the owner is liable.

(7) Any oil acquired, or taken into a vehicle, appliance or storage tank as mentioned in subsection (1) above, or supplied as mentioned in subsection (4), shall be liable to forfeiture.

Rebate of duty

9. Subject to the following sections, where heavy oil charged with the customs or excise duty on hydrocarbon oil is delivered for home use, there shall be allowed thereon at the time of delivery a rebate of duty at a rate of 1p a gallon less than the rate at which the duty is for the time being chargeable. Rebate on heavy oil.

10.—(1) If, on the delivery of heavy oil for home use, it is intended to use the oil as fuel for a vehicle to which this section applies, a declaration shall be made to that effect in the entry for home use and thereupon no rebate shall be allowed in respect of that oil. Rebate not allowed on fuel for road vehicles.

(2) This section applies to any vehicle constructed or adapted for use on roads, except that it does not apply to any vehicle specified in Schedule 1 to this Act (various vehicles unlicensed for use on roads or used otherwise than for ordinary transport purposes).

(3) No heavy oil on the delivery of which for home use rebate has been allowed shall—

- (a) be used as fuel for a vehicle to which this section applies; or
- (b) be taken into such a vehicle as fuel,

unless an amount equal to the amount for the time being allowable in respect of rebate on like oil has been paid to the Commissioners in accordance with regulations made for the purposes of this section.

(4) For the purposes of this and the following section—

- (a) heavy oil shall be deemed to be used as fuel for a vehicle if, but only if, it is used as fuel for the engine provided for propelling the vehicle or for an engine which draws its fuel from the same supply as that engine; and
- (b) heavy oil shall be deemed to be taken into a vehicle as fuel if, but only if, it is taken into it as part of that supply.

Penalties for
misuse of
rebated heavy
oil.

11.—(1) A person who—

- (a) uses heavy oil in contravention of section 10(3) of this Act; or
- (b) is liable for heavy oil being taken into a vehicle in contravention of that subsection,

shall be liable to a penalty of three times the value of the oil or £100, whichever is the greater; and the Commissioners may recover from him an amount equal to the rebate on like oil at the rate in force at the time of the contravention.

(2) A person who supplies heavy oil having reason to believe that it will be put to a particular use shall be liable to the penalty provided by subsection (1) above where that use would, if a payment under section 10(3) of this Act were not made in respect of the oil, contravene section 10(3).

(3) Where the act in respect of which a person is liable to a penalty under subsection (1) or (2) above was done (whether by him or another person) with the intent by him that the restrictions imposed by section 10 of this Act should be contravened, he shall be liable to that penalty, or to imprisonment for not more than two years, or to both.

(4) Any heavy oil—

- (a) taken into a vehicle as mentioned in section 10(3) of this Act or supplied as mentioned in subsection (2) above; or
- (b) taken as fuel into a vehicle to which section 10 of this Act does not apply and remaining therein as part of the fuel supply of the vehicle when it becomes one to which that section applies,

shall be liable to forfeiture.

(5) A person is liable for heavy oil being taken into a vehicle in contravention of section 10(3) of this Act if he is at the time the person having the charge of the vehicle or is the owner thereof, except that if a person other than the owner is, or is for the time being, entitled to possession of it, that person and not the owner is liable.

12.—(1) On light oil charged with the customs or excise duty on hydrocarbon oil and delivered for home use as furnace fuel for burning in vaporised or atomised form by an approved person there shall be allowed at the time of delivery a rebate of duty at a rate of 1p a gallon less than the rate at which the duty is charged. Rebate on light oil for use as furnace fuel.

(2) Except with the consent of the Commissioners, no oil in the case of which rebate has been allowed under this section shall—

(a) be put to a use otherwise than as mentioned in subsection (1) above; or

(b) be acquired or taken into any vehicle, appliance or storage tank in order to be put to such a use.

(3) In giving their consent for the purposes of subsection (2) above, the Commissioners may impose such conditions as they think fit.

(4) A person who—

(a) uses or acquires oil in contravention of subsection (2) above; or

(b) is liable for oil being taken into a vehicle, appliance or storage tank in contravention of that subsection,

shall be liable to a penalty of three times the value of the oil or £100, whichever is the greater; and the Commissioners may recover from him the amount of the rebate allowed on the oil.

(5) A person who supplies oil having reason to believe that it will be used otherwise than as mentioned in subsection (1) above shall, if that use without the consent of the Commissioners would contravene subsection (2) above, be liable to the said penalty.

(6) Where the act in respect of which a person is liable to a penalty under subsection (4) or (5) above was done (whether by him or any other person) with the intent by him that the restrictions imposed by subsection (2) should be contravened, he shall be liable to the said penalty, or to imprisonment for not more than two years, or to both.

(7) A person is liable for oil being taken into a vehicle, appliance or storage tank in contravention of subsection (2)

above if he is at the time the person having the charge of the vehicle, appliance or tank, or is the owner thereof, except that if a person other than the owner is, or is for the time being, entitled to possession of it, that person and not the owner is liable.

(8) Any oil acquired, or taken into a vehicle, appliance or storage tank, as mentioned in subsection (2) above, or supplied as mentioned in subsection (5) above, shall be liable to forfeiture.

Drawback

Drawback of
customs
and excise
duty on
exportation of
certain goods.

13.—(1) A drawback equal to any amount shown to the satisfaction of the Commissioners to have been paid in respect of the goods in question by way of the customs or excise duty on hydrocarbon oil shall be allowed on the exportation, shipment as stores or warehousing for use as stores of any hydrocarbon oil, or of any article in which there is contained any hydrocarbon oil which was used, or which formed a component of any article used, as an ingredient in the manufacture or preparation thereof.

(2) The Treasury may by order direct as respects articles of any class or description specified in the order that, subject to the provisions of the order, drawback shall be allowed under the foregoing subsection in respect of hydrocarbon oil (or goods containing it) used as a material, solvent, extractant, preservative or finish in the manufacture or preparation of the articles, and thereupon this Act shall have effect, subject to the provisions of the order and of this section, as if the reference in the foregoing subsection to an article in which there is contained any hydrocarbon oil used as an ingredient in the manufacture or preparation thereof included a reference to an article of the class or description specified in the order.

(3) An order made under subsection (2) of this section as respects articles of any class or description—

(a) may provide for drawback to be allowed in respect of hydrocarbon oil (or goods containing it) used as a material, solvent, extractant, preservative or finish in the manufacture or preparation not directly of articles of that class or description but of articles incorporated in them; and

(b) may provide that the quantity of hydrocarbon oil as respects duty on which drawback is to be allowed shall be determined by reference to average quantities or otherwise.

(4) An order made by the Treasury under this section may be varied or revoked by a subsequent order so made.

(5) Orders under this section shall be made by statutory instrument; and a statutory instrument containing such an order shall be subject to annulment in pursuance of a resolution of the House of Commons.

14. On power methylated spirits which are exported, shipped as stores or warehoused for use as stores there shall be allowed a drawback equal to the amount of duty shown to the satisfaction of the Commissioners to have been paid in respect thereof. Drawback of excise duty on power methylated spirits.

Miscellaneous reliefs

15.—(1) If on an application made for the purposes of this section by a horticultural producer it is shown to the satisfaction of the Commissioners that within the period for which the application is made any quantity of heavy oil has been used by the applicant as mentioned in the following subsection, then subject as provided below, the applicant shall be entitled to obtain from the Commissioners repayment of the amount of any duty which has been paid in respect of the quantity so used, unless that amount is less than £2.50. Heavy oil used by horticultural producers.

(2) A horticultural producer shall be entitled to repayment under this section in respect of oil used by him—

(a) in the heating, for the growth of horticultural produce primarily with a view to the production of horticultural produce for sale, of any building or structure, or of the earth or other growing medium in it; or

(b) in the sterilization of the earth or other growing medium to be used for the growth of horticultural produce as aforesaid in any building or structure.

(3) Where any quantity of oil is used partly for any such purpose as aforesaid and partly for another purpose, such part of that quantity shall be treated as used for each purpose as may be determined by the Commissioners.

(4) An application under this section shall be made for a period of six months ending with June or December and within three months following that period, unless the Commissioners otherwise allow, and shall be made in such manner as the Commissioners may direct.

(5) The Commissioners may require an applicant for repayment under this section—

(a) to state such facts concerning the hydrocarbon oil delivered to or used by him, or concerning the production of horticultural produce by him, as they may think necessary to deal with the application;

- (b) to furnish them in such form as they may require with proof of any statement so made ; and
- (c) to permit an officer to inspect any premises or plant used by him for the production of horticultural produce or in or for which any such oil was used.

(6) If the facts required by the Commissioners under subsection (5)(a) above are not stated, or proof of the matters referred to in subsection (5)(b) is not furnished to the satisfaction of the Commissioners, or if an applicant fails to permit inspection of premises or plant as required under subsection (5)(c), the facts shall be deemed for the purposes of this section to be such as the Commissioners may determine.

(7) In this section—

“ horticultural produce ” has the meaning assigned to it by Schedule 2 to this Act ; and

“ horticultural producer ” means a person growing horticultural produce primarily for sale.

Fuel for
ships in home
waters.

16.—(1) If, on an application made for the purposes of this subsection in such manner as the Commissioners may direct by the owner of a ship specified in the application, not being a pleasure yacht, it is shown to the satisfaction of the Commissioners—

- (a) that at any time within the period of six months preceding the date of the application (or within such longer period preceding that date as the Commissioners may in any special case allow) any quantity of heavy oil has been used as fuel for the machinery of the ship while engaged on a voyage in home waters ; and
- (b) that no drawback was allowable on the shipment of the oil,

the applicant shall be entitled to obtain from the Commissioners repayment of the amount of any duty which has been paid in respect of the quantity so used, unless that amount is less than £5.

(2) Subject to the following subsection, heavy oil in a warehouse or refinery may, on an application made for the purposes of this subsection in such manner as the Commissioners may direct by the owner of a ship specified in the application, not being a pleasure yacht, and on the prescribed security being given, be delivered without payment of duty to the applicant for use as fuel for the machinery of the ship while engaged on a voyage in home waters.

(3) At any time not later than twelve months after any oil has been so delivered the Commissioners may require the applicant

to prove in the prescribed manner that the whole of the oil, or such part thereof as is not on board the ship or has not been relanded with the sanction of the proper officer, has been used as aforesaid; and, if such proof is not furnished to the Commissioners' satisfaction, any duty which but for the provisions of subsection (2) above would have been payable on the delivery of the oil shall become payable by the applicant on demand made by the Commissioners in the prescribed manner.

(4) If, where oil has been delivered from a warehouse or refinery without payment of duty on an application under this section, a person—

- (a) uses the oil or any part of it otherwise than as fuel for the machinery of the ship specified in the application while engaged on a voyage in home waters; or
- (b) relands the whole or any part of the oil at any place in the United Kingdom without the sanction of the proper officer,

he shall be liable to a penalty of three times the value of the whole of the oil so delivered or £100 whichever is the greater; and in the case of an offence under paragraph (b) of this subsection the oil relanded shall be liable to forfeiture.

(5) In this section—

- (a) "owner", in relation to an application, includes a charterer to whom the specified ship is demised, or, in a case where the application relates to oil used, or for use, on a ship while undergoing trials for the purpose of testing her hull or machinery, the builder or other person conducting the trials;
- (b) "prescribed" means prescribed by regulations made by the Commissioners; and
- (c) "voyage in home waters", in relation to a ship, means a voyage in which the ship is at all times either at sea or within the limits of a port.

(6) This section shall apply to hover vehicles as it does to ships, and "pleasure yacht", "voyage", "reland" and other expressions shall be construed accordingly.

17.—(1) Subsection (3) of this section shall have effect in the case of—

- (a) any fishing boat entered in the fishing boat register under the Merchant Shipping Act 1894 and used for the purposes of fishing by a person gaining a substantial part of his livelihood by fishing, whether he is the owner of the boat or not; or

- (b) any lifeboat owned by the Royal National Lifeboat Institution; or

Fuel used in fishing boats, etc.

1894 c. 60.

- (c) any tractor or gear owned by the said institution and used for the purpose of launching or hauling in any such lifeboat,

in respect of which an application is made to the Commissioners for the purposes of this section by the owner or master of the fishing boat or, as the case may be, by the said institution.

(2) Paragraphs (b) and (c) of the foregoing subsection shall apply to hover vehicles as if they were boats or vessels.

(3) Subject to the provisions of this section, if it appears to the satisfaction of the Commissioners that the applicant has at any time within the period of six months preceding the date of the application or within such longer period preceding that date as the Commissioners may in any special case allow, used any quantity of hydrocarbon oil on board that boat or for the purposes of that tractor or gear, the applicant shall be entitled to obtain from the Commissioners repayment of any duty which has been paid in respect of the oil so used.

(4) An application for the purposes of this section shall be made in such manner as the Commissioners may direct.

(5) No person who has previously made application under this section for repayment of duty shall be entitled to make a further application until the expiration of at least three months from the date on which the last preceding application was made.

(6) This section shall have effect in relation to duty paid in respect of power methylated spirits as it has effect in relation to duty paid in respect of hydrocarbon oil.

Oil
contaminated
or
accidentally
mixed in
warehouse.

18.—(1) Where in the case of hydrocarbon oil which has been delivered for home use it is shown to the satisfaction of the Commissioners—

- (a) that since it was so delivered the oil has been deposited unused in an oil warehouse ; and
- (b) that it has been so deposited by reason of having become contaminated or by reason of its consisting of different descriptions of hydrocarbon oil which have accidentally become mixed ; and
- (c) that at the time when it was so deposited it was oil or, as the case may be, was a mixture of oils, on which the appropriate duty of customs or excise had been paid and not repaid and on which drawback had not been allowed ;

then, subject to any conditions which the Commissioners see fit to impose for the protection of the revenue, the Commissioners may make to the occupier of that warehouse a payment in accordance with subsection (2) below.

(2) The payment aforesaid shall be a payment of an amount appearing to the Commissioners to be equal to the duty which would have been payable if—

- (a) the oil had not become contaminated or mixed; and
- (b) it had first been delivered for home use at the time when it was deposited in the warehouse and the duty had first become chargeable on that delivery.

(3) In this section the expression "oil warehouse" means a place of security approved by the Commissioners under section 80 of the Act of 1952 for the depositing, keeping and securing of hydrocarbon oil, and includes a refinery.

Administration and enforcement

19.—(1) The Commissioners may, with a view to the protection of the revenue, make regulations for any of the purposes specified in Part I of Schedule 3 to this Act; and different regulations may be made for different classes of hydrocarbon oils.

Regulations with respect to hydrocarbon oil.

(2) The power conferred by subsection (1) above shall include power to make regulations—

- (a) regulating the allowance and payment of drawback under or by virtue of section 13 of this Act; and
- (b) for making the allowance and payment of drawback by virtue of an order under subsection (2) of that section subject to such conditions as the Commissioners see fit to impose for the protection of the revenue.

(3) A person who contravenes or fails to comply with any regulations made under this section shall be liable to a penalty of three times the value of any goods in respect of which the offence was committed or £100, whichever is the greater; and the goods shall be liable to forfeiture.

20.—(1) The Commissioners may, with a view to the protection of the revenue, make regulations for any of the purposes specified in Part II of Schedule 3 to this Act.

Corresponding provision with respect to petrol substitutes.

(2) A person who—

- (a) contravenes or fails to comply with any regulations made under this section; or
- (b) uses as fuel for an internal combustion piston engine any liquid which is neither hydrocarbon oil nor power methylated spirits and on which he knows or has reasonable cause to believe that the excise duty on petrol substitutes has not been paid,

shall be liable to a penalty of three times the value of the goods in respect of which the offence was committed or £100, whichever is the greater; and the goods shall be liable to forfeiture.

(3) In this section, "liquid" does not include any substance which is gaseous at a temperature of 60°F and under a pressure of one atmosphere.

Control of
use of
duty-free and
rebated oil.

21.—(1) The Commissioners may make regulations for any of the purposes of section 7(1) or (5), section 10 or section 12(1) of this Act, and in particular for the purposes specified in Schedule 4 thereto.

(2) Regulations made for the purposes of section 10 of this Act may provide for restricting (whether by reference to locality, the obtaining of a licence from the Commissioners or other matters) the cases in which payments to the Commissioners under subsection (3) of that section are to be effective for the purposes of that subsection.

(3) For the purposes of the customs and excise Acts, the presence in any hydrocarbon oil of a marker which, in regulations made under this section, is prescribed in relation—

(a) to oil delivered without payment of duty under section 7 of this Act; or

(b) to rebated heavy oil or rebated light oil,

shall be conclusive evidence that that oil has been so delivered or, as the case may be, that the rebate in question has been allowed.

(4) A person who contravenes or fails to comply with regulations made under this section shall be liable to a penalty of three times the value of any goods in respect of which the offence was committed or £100, whichever is the greater; and the goods shall be liable to forfeiture.

(5) Schedule 5 to this Act shall have effect with respect to any sample of hydrocarbon oil taken in pursuance of regulations made under this section.

Powers of
entry etc.

22. Sections 248 and 249 of the Act of 1952 (powers of entry and search) shall apply to the occupier of a refinery as they apply to a distiller, whether or not the occupier is an excise trader.

General

Interpretation.

23.—(1) This Act shall be construed as one with the Act of 1952.

(2) In this Act—

1952 c. 44.

"the Act of 1952" means the Customs and Excise Act 1952;

"the Commissioners" means the Commissioners of Customs and Excise;

“hover vehicle” means a vehicle designed to be supported on a cushion of air ;

“rebate” means rebate of duty under section 9 or 12, and “rebated” has a corresponding meaning ; and

“refinery” means any premises approved by the Commissioners for the treatment of hydrocarbon oil.

24.—(1) Schedule 6 to this Act shall have effect for amending enactments referring to enactments repealed by this Act, so as to make them refer to the corresponding enactments in this Act. Consequential amendments, repeals and savings.

(2) The enactments specified in Schedule 7 to this Act are hereby repealed to the extent specified in the third column of that Schedule.

(3) Without prejudice to section 38 of the Interpretation Act 1889 c. 63. 1889 (effect of repeals)—

(a) in so far as any order or regulation made, notice given or other thing done under an enactment repealed by this Act could have been made, given or done under the corresponding provision in this Act, it shall not be invalidated by the repeal but shall have effect as if made, given or done under that corresponding provision ;

(b) anything begun under or for the purposes of an enactment repealed by this Act may be continued under or, as the case may be, for the purposes of the corresponding enactment in this Act ; and

(c) so much of any document as refers expressly or by implication to an enactment so repealed shall, if and so far as the context permits, be construed as referring to this Act or the corresponding enactment therein.

25.—(1) This Act may be cited as the Hydrocarbon Oil (Customs & Excise) Act 1971. Citation and commencement.

(2) This Act shall come into operation on 12th April 1971.

SCHEDULES

Section 10

SCHEDULE 1

VEHICLES IN WHICH HEAVY OIL MAY BE USED WITHOUT REPAYMENT OF REBATE

Vehicles to which section 10 does not apply

1. Any vehicle while it is not used on a public road and no vehicles excise licence is in force in respect of it.

2. In England, Wales and Scotland, the following—

(a) any vehicle exempted from vehicles excise duty by—
 section 4(1)(h) (road construction vehicles), or
 section 7(1) (vehicles used only for passing to and
 from land in the same occupation),
 of the Vehicles (Excise) Act 1971 ;

1971 c.10.

(b) a vehicle of any of the following descriptions which is not chargeable with duty as a goods vehicle, namely an agricultural machine, digging machine, mobile crane, works truck or mowing machine mentioned in Schedule 3 to that Act ;
 (c) a road roller.

3. In Northern Ireland, the following—

(a) any vehicle exempted from vehicles excise duty by—
 section 7(1)(h) (road construction vehicles), or
 section 7(5) (vehicles used only for passing to and
 from land in the same occupation),
 of the Vehicles (Excise) Act (Northern Ireland) 1954 ;

1954 c. 17 (N.I.).

(b) a vehicle of any of the following descriptions which is not chargeable with duty as a goods vehicle, namely an agricultural machine, digging machine, mobile crane, works truck or mowing machine mentioned in section 4(2)(a), (b), (c) or (d) of that Act ;
 (c) a road roller.

Interpretation for above paragraphs

4. “Public road” means a road which is repairable at the public expense or, in Northern Ireland, which is maintainable by a road authority.

5. “Vehicles excise licence”, “vehicles excise duty” and “duty” means a licence and duty under the Vehicles (Excise) Act 1971 or, in Northern Ireland, the Vehicles (Excise) Act (Northern Ireland) 1954 ; but a vehicle in respect of which there is current a certificate or document in the form of a licence issued in pursuance of regulations under section 23 of the said Act of 1971 or section 20 of the said Act of 1954 shall be treated as a vehicle for which a road licence is in force.

1962 c. 13.

6. Until the coming into force of the Vehicles (Excise) Act 1971 (which consolidates the Vehicles (Excise) Act 1962 and other enactments) references above to that Act and specific provisions of it shall be read as referring to the said Act of 1962 and the corresponding provisions of that Act.

SCHEDULE 2

Section 15.

**MEANING OF "HORTICULTURAL PRODUCE" FOR PURPOSES OF
RELIEF UNDER SECTION 15**

In section 15 of this Act, "horticultural produce" means—

- (a) fruit,
- (b) vegetables of a kind grown for human consumption, including fungi, but not including maincrop potatoes or peas grown for seed, for harvesting dry or for vining,
- (c) flowers, pot plants and decorative foliage,
- (d) herbs,
- (e) seeds other than pea seeds, and bulbs and other material, being seeds, bulbs or material for sowing or planting for the production of fruit, of such vegetables, flowers, plants or foliage as aforesaid, or of herbs, or for reproduction of the seeds, bulbs or other material planted, or
- (f) trees and shrubs, other than trees grown for the purpose of afforestation,

but does not include hops.

SCHEDULE 3

**Sections
19 and 20.**

**SUBJECTS FOR COMMISSIONERS' REGULATIONS UNDER SECTIONS 19
AND 20**

PART I

HYDROCARBON OIL

1. Prohibiting the production of hydrocarbon oil or any description thereof except by a person holding a licence.
2. Fixing the date of expiration of any such licence.
3. Regulating the production, storage and warehousing of hydrocarbon oil or any description thereof and the removal of any such oil to or from premises used for the production of any such oil.
4. Prohibiting the refining of hydrocarbon oil elsewhere than in a refinery.
5. Prohibiting the incorporation of gas in hydrocarbon oil elsewhere than in a refinery.
6. Regulating the use and storage of hydrocarbon oil in a refinery.
7. Regulating or prohibiting the removal to a refinery of hydrocarbon oil in respect of which any rebate under this Act has been allowed.
8. Regulating the removal of imported hydrocarbon oil to a refinery without payment of the customs duty.

SCH. 3

9. Making provision for securing payment of the customs duty on any imported hydrocarbon oil received into a refinery.

10. Relieving from the excise duty any such oil intended for exportation or shipment as stores.

11. Generally for securing and collecting the excise duty.

In this Part of this Schedule, "the customs duty" and "the excise duty" mean respectively the customs duty and the excise duty on hydrocarbon oil.

PART II

PETROL SUBSTITUTES

12. Prohibiting the production of petrol substitutes, and dealing in petrol substitutes on which the excise duty has not been paid, except by persons holding a licence.

13. For fixing the date of expiration of any such licence.

14. Regulating the production, dealing in, storage and warehousing of petrol substitutes and their removal to and from premises used therefor.

15. For relieving from the excise duty petrol substitutes intended for exportation or shipment as stores.

16. Generally for securing and collecting the excise duty.

In this Part of this Schedule, "the excise duty" means the excise duty on petrol substitutes.

Section 21.

SCHEDULE 4

SUBJECTS FOR REGULATIONS UNDER SECTION 21

As to grant of relief under sections 7 and 12

1. Regulating the approval of persons for purposes of section 7(1) or (5), or 12(1) of this Act, whether individually or by reference to a class, and whether in relation to particular descriptions of oil or generally; enabling approval to be granted subject to conditions and providing for the conditions to be varied, or the approval revoked, for reasonable cause.

2. Enabling permission under section 7(1) of this Act to be granted subject to conditions as to the giving of security and otherwise.

3. Requiring claims for repayment under section 7(5) of this Act to be made at such times and in respect of such periods as are prescribed; providing that no such claim shall lie where the amount to be paid is less than the prescribed minimum; and preventing, where such a claim lies, the payment of drawback.

As to mixing of oils

SCH. 4

4. Imposing restrictions on the mixing with other oil of any rebated oil or oil delivered without payment of duty.

As to marking of oil

5. Requiring as a condition of allowing rebate on, or delivery without payment of duty of, any oil (subject to any exceptions provided by or under the regulations) that there shall have been added to that oil, at such times, in such manner and in such proportions as may be prescribed, one or more prescribed markers, with or without a prescribed colouring substance (not being a prescribed marker), and that a declaration to that effect is furnished.

6. Prescribing the substances which are to be used as markers.

7. Providing that the presence of a marker shall be disregarded if the proportion in which it is present is less than that prescribed for the purposes of this paragraph.

8. Prohibiting the addition to any oil of any prescribed marker or prescribed colouring substance except in such circumstances as may be prescribed.

9. Prohibiting the removal from any oil of any prescribed marker or prescribed colouring substance.

10. Prohibiting the addition to oil of any substance, not being a prescribed marker, which is calculated to impede the identification of a prescribed marker.

11. Regulating the storage or movement of prescribed markers.

12. Requiring any person who adds a prescribed marker to any oil to keep in such manner and to preserve for such period as may be prescribed such accounts and records in connection with his use of that marker as may be prescribed, and requiring the production of the accounts and records.

13. Requiring, in such circumstances or subject to such exceptions as may be prescribed, that any drum, storage tank, delivery pump or other container or outlet which contains any oil in which a prescribed marker is present shall be marked in the prescribed manner to indicate that the oil is not to be used as road fuel or for any other prohibited purpose.

14. Requiring any person who supplies oil in which a prescribed marker is present to deliver to the recipient a document containing a statement in the prescribed form to the effect that the oil is not to be used as road fuel or for any other prohibited purpose.

15. Prohibiting the sale of any oil the colour of which would prevent any prescribed colouring substance from being readily visible if present therein.

16. Prohibiting the importation of oil in which any prescribed marker, or any other substance which is calculated to impede the identification of a prescribed marker, is present.

SCH. 4 *As to control of storage, supply etc. of oil, entry of premises, etc.*

17. Regulating the storage or movement of oil.

18. Restricting the supplying of oil in respect of which rebate has been allowed and not repaid or on which duty has not been paid.

19. Requiring a person owning or possessing a vehicle to which section 10 of this Act applies and which is constructed or adapted to use heavy oil as fuel to keep such accounts and records in such manner as may be prescribed, and to preserve such books and documents relating to the supply of heavy oil to or by him, or the use of heavy oil by him, for such period as may be prescribed.

20. Requiring the production of books or documents relating to the supply or use of oil or the use of any vehicle.

21. Authorising the entry and inspection of premises (other than private dwelling houses) and the examination of vehicles, and authorising, or requiring the giving of facilities for, the inspection of oil found on any premises entered or on or in any vehicle and the taking of samples of any oil inspected.

Interpretation

22. In this Schedule—

“oil” means hydrocarbon oil ;

“prescribed” means prescribed by regulations made under section 21 of this Act ;

and section 10(4)(a) of this Act shall apply for the purposes of paragraph 19 above as it applies for the purposes of that section.

Section 21.

SCHEDULE 5

SAMPLING

1. The person taking a sample—

(a) if he takes it from a motor vehicle, shall if practicable do so in the presence of a person appearing to him to be the owner or person for the time being in charge of the vehicle ;

(b) if he takes the sample on any premises but not from a motor vehicle, shall if practicable take it in the presence of a person appearing to him to be the occupier of the premises or for the time being in charge of the part of the premises from which it is taken.

2.—(1) The result of an analysis of a sample shall not be admissible—

(a) in criminal proceedings under the customs or excise Acts ;
or

(b) on behalf of the Commissioners in any civil proceedings under those Acts,

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unless the analysis was made by an authorised analyst and the requirements of the foregoing paragraph (where applicable) and of the following provisions of this paragraph have been complied with.

(2) The person taking a sample must at the time have divided it into three parts (including the part to be analysed), marked and sealed or fastened up each part, and—

(a) delivered one part to the person in whose presence the sample was taken in accordance with paragraph 1 above, if he requires it; and

(b) retained one part for future comparison.

(3) Where it was not practicable to comply with the relevant requirements of paragraph 1 of this Schedule, the person taking the sample must have served notice on the owner or person in charge of the vehicle or, as the case may be, the occupier of the premises informing him that the sample has been taken and that one part of it is available for delivery to him, if he requires it, at such time and place as may be specified in the notice.

3.—(1) Subject to the following sub-paragraph, in any such proceedings as are mentioned in paragraph 2(1) above a certificate purporting to be signed by an authorised analyst and certifying the presence of any substance in any such sample of oil as may be specified in the certificate shall be evidence, and in Scotland sufficient evidence, of the facts therein stated.

(2) Without prejudice to the admissibility of the evidence of the analyst (which shall be sufficient in Scotland as well as in England), such a certificate shall not be admissible as evidence—

(a) unless a copy thereof has, not less than 7 days before the hearing, been served by the prosecutor or, in the case of civil proceedings, the Commissioners on all other parties to the proceedings; or

(b) if any of those other parties, not less than 3 days before the hearing or within such further time as the court may in special circumstances allow, serves notice on the prosecutor or, as the case may be, the Commissioners requiring the attendance at the hearing of the person by whom the analysis was made.

4.—(1) Any notice required or authorised to be given under this Schedule shall be in writing.

(2) Any such notice shall be deemed, unless the contrary is shown, to have been received by a person if it is shown to have been left for him at his last-known residence or place of business in the United Kingdom.

(3) Any such notice may be given by post, and the letter containing the notice may be sent to the last-known residence or place of business in the United Kingdom of the person to whom it is directed.

(4) Any such notice given to the secretary or clerk of a company or body of persons (incorporated or unincorporated) on behalf of

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the company or body shall be deemed to have been given to the company or body; and for the purpose of the foregoing provisions of this paragraph any such company or body of persons having an office in the United Kingdom shall be treated as resident at that office or, if it has more than one, at the registered or principal office.

(5) Where any such notice is to be given to any person as the occupier of any land, and it is not practicable after reasonable inquiry to ascertain—

(a) what is the name of any person being the occupier thereof, or

(b) whether or not there is a person being the occupier thereof, the notice may be addressed to the person concerned by any sufficient description of the capacity in which it is given to him.

(6) In any case to which the foregoing sub-paragraph applies, and in any other case where it is not practicable after reasonable inquiry to ascertain an address in the United Kingdom for the service of a notice to be given to a person as being the occupier of any land, the notice shall be deemed to have been received by the person concerned on being left for him on the land, either in the hands of a responsible person or conspicuously affixed to some building or object on the land.

(7) The foregoing provisions of this paragraph (other than sub-paragraph (1)) shall not affect the validity of any notice duly given otherwise than in accordance with those provisions.

5. In this Schedule, “authorised analyst” means—

- (a) the Government Chemist or a person acting under his direction;
- (b) the Government Chemist for Northern Ireland or a person acting under his direction;
- (c) any chemist authorised by the Treasury to make analyses for the purposes of this Schedule; or
- (d) any other person appointed as a public analyst or deputy public analyst under—

section 89 of the Food and Drugs Act 1955,

section 27 of the Food and Drugs (Scotland) Act 1956,

or

section 31 of the Food and Drugs Act (Northern Ireland) 1958.

1955 c. 16,
(4 & 5 Eliz. 2.)
1956 c. 30.

1958 c. 27 (N.I.).

6. References in this Schedule to the taking of a sample or to a sample shall be construed respectively as references to the taking of a sample in pursuance of regulations under section 21 of this Act and to a sample so taken.

7. This Schedule shall have effect in its application to a vehicle of which a person other than the owner is, or is for the time being, entitled to possession, as if for references to the owner there were substituted references to the person entitled to possession.

SCHEDULE 6

Section 24.

CONSEQUENTIAL AMENDMENT OF ENACTMENTS

1. In the Customs and Excise Act 1952—

1952 c. 44.

- (a) in section 50(2) (shipment of goods as stores), for “section two hundred and four of this Act” substitute “section 16 of the Hydrocarbon Oil (Customs & Excise) Act 1971”;
- (b) in section 307(1) (definitions) for the definition of “hydrocarbon oils” substitute—

“hydrocarbon oils” has the same meaning as “hydrocarbon oil” in the Hydrocarbon Oil (Customs & Excise) Act 1971”.

2. In the Finance Act 1961, in Schedule 4 (special cases for adjustment of surcharges and rebates under section 9 of that Act), substitute the following for paragraph 7—

1961 c. 36.

“7. The principal section shall apply to repayments of duty under the following provisions of the Hydrocarbon Oil (Customs & Excise) Act 1971—

- (a) section 7(5) (repayment of duty on oil put to an industrial use which would have qualified it for duty-free delivery);
- (b) section 15 (relief for oil used by horticultural producers);
- (c) section 16 (relief for oil used as fuel in ships in home waters);
- (d) section 17 (relief for oil used in fishing boats, lifeboats and lifeboat launching gear),

as if the repayments were drawbacks and not repayments.”

3. In section 69 of the Transport Act 1968 (revocation etc. of operators' licences), in subsection (4)(e), after “section 200 of the Customs and Excise Act 1952” insert “or section 11 of the Hydrocarbon Oil (Customs & Excise) Act 1971”.

1968 c. 73.

Section 24.

SCHEDULE 7
ENACTMENTS REPEALED

Chapter	Short Title	Extent of Repeal
15 & 16 Geo. 6. & 1 Eliz. 2. c. 44.	The Customs and Excise Act 1952.	Sections 123 and 124. Part VI (sections 195 to 209). In section 307(1), the definition of "power methylated spirits". Schedule 2, Part II.
8 & 9 Eliz. 2. c. 44.	The Finance Act 1960.	
9 & 10 Eliz. 2. c. 36.	The Finance Act 1961.	Section 2(1). Section 3.
10 & 11 Eliz. 2. c. 44.	The Finance Act 1962.	Section 4. Schedule 7.
1963 c. 25.	The Finance Act 1963.	Section 8.
1964 c. 49.	The Finance Act 1964.	Section 6. Schedule 6.
1964 c. 92.	The Finance (No. 2) Act 1964.	Section 2.
1965 c. 25.	The Finance Act 1965.	Section 8.
1966 c. 18.	The Finance Act 1966.	Section 6. In Schedule 2, paragraph 4.
1967 c. 54.	The Finance Act 1967.	Section 1(5)(a). In Schedule 5, paragraph 1.
1968 c. 44.	The Finance Act 1968.	Section 2.
1969 c. 32.	The Finance Act 1969.	Section 1(3) and (5)(d). In Schedule 7, paragraphs 4 and 5.
1970 c. 24.	The Finance Act 1970.	Section 8.